GMS WEEKLY

Your Source for Recycling News

May 26th, 2023
Volume 249, Issue 1084
Week 21

Highlights:

- **Price levels.**
- **Budget due.**
- **Ratifying talks.**
- **Next steps.**
- **Pakistan done.**
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QUOTE of the WEEK

"It is never too late to be what you might have been."

– George Eliot

MARKET COMMENTARY

HOLD STEADY!

Amidst the ongoing slowdown in the supply of tonnage and the onset of the traditionally quieter summer / monsoon months that would certainly help ease off the demand, prices across the sub-continent markets remained steady for another week.

There is also the impending budget on June 1st in Bangladesh and many End Buyers are waiting to see if any new changes / taxes are imposed on the domestic ship recycling sector before offering afresh on tonnage.

However, the general consensus on the upcoming budget is that no changes are expected and that it may actually be positive on the overall business outlook in Bangladesh, amidst a growing demand for steel and raw materials due to various upcoming construction and infrastructure projects that are due in the summer months.

Additionally, the recent meeting in Bangladesh on whether to ratify the Hong Kong convention produced some interesting discussions and outcomes, with the country amending its ship recycling standard from 'Red' to 'Orange', on the environmental outlook for the country. The next step is for flags to ratify the convention before it can be entered into force, in what could be a landmark ruling in Bangladesh – the first sub-continent country to be actively doing so.

Meanwhile, after a recent wobble in prices, India too has steadied and there is now an emerging demand as Buyers in Alang have missed out on a majority of the non-HKC (and reportedly, even some HKC) tonnage to the firmer Chattogram market.

Pakistan remains on the sidelines, with political and economic chaos rendering this market virtually redundant and there is no realistic hope of the situation stabilizing any time soon.

Finally, Turkey remains suspended in no-man's land, as the situation remains unchanged from last week and the election results awaiting to be announced.

For week 21 of 2023, GMS demo rankings / pricing for the week are as below.

Rank	Location	Sentiment	Dry Bulk USD / LDT	Tankers USD / LDT	Containers USD / LDT
1	Bangladesh*	Stable	585 / LDT	615 / LD	635 / LDT
2	India	Stable	530 / LDT	550 / LDT	570 / LDT
3	Pakistan*	Weak	510 / LDT	530 / LDT	550 / LDT
4	Turkey	Steady	320 / LDT	330 / LDT	340 / LDT

**Subject L/C approval*

BANGLADESH

WAKING UP!

HKC talks.

Over previous weeks, several (market and private) sales have taken place into Bangladesh, as this market appears to finally turn a corner post Ramadan and Eid holidays.

Moreover, just this week, Japan Shipowners' Association (JSA) sent its delegates to Bangladesh, along with representatives from four major Japanese shipping companies as Bangladesh's regulatory bodies have expressed their commitment to ratify HKC recycling processes and requested Japan's assistance in the further development of a Treatment Storage Disposal Facility (TSDF).

1st June budget.

The Japanese delegation also visited multiple ship recycling facilities in Chattogram and had constructive dialogues with members of Bangladesh Ship Breakers and Recyclers Association (BSBRA), with emphasis on increasing the number of HKC compliant yards.

As a result of this visit, Chattogram's ship recycling industry has been re-categorized from 'Red' to 'Orange' code on the environmental outlook, which will assure further investments in yard infrastructures.

On the sales front, no fresh market sales registered for the week, as the supply of tonnage remains abysmal, especially as we enter the usually quieter monsoon season – when much of the seasonal labour returns home.

As fundamentals continue to jiggle as the weeks go by where the Bangladeshi Taka still trades in excess of BDT 107.10 against the U.S. Dollar and local steel plate prices flatline through the week once again, all eyes will be on the upcoming budget of June 1st next week – whereby even though few changes are expected to impact the ship recycling sector – many Buyers are being cautious in the event of unexpected changes.

NO MARKET SALES REPORTED

INDIA

MISSING OUT (ON HKC)!

India has recently missed out on some HKC sales, with Bangladesh securing tonnage to some of the newly approved Class NK HKC facilities (three now in total).

Bangla secures.

Prices in India are a touch lower than Bangladesh and as many of the recent fixtures are coming in from the Far East, a lower delivery cost to Bangladesh (vs. India) helps ease some of the expenses as vessels head to Chattogram, especially as evidenced by the number of arrivals in Bangaldesh over recent weeks.

Fundamentals in India remain wobbly too, with steel prices enduring another shaky week – down by about USD 5/Ton - whilst the currency finally settles back down towards Rs. 82.5X against the U.S. Dollar, keeping Alang Recyclers encouraged, despite the dwindling supply of vessels.

Fundamentals wobbly.

NO MARKET SALES REPORTED

PAKISTAN

UNFULFILLED DREAMS!

Lacklustre.

Another completely lackluster week sees the Pakistani ship recycling sector devoid of any sales / activity and remains on the sidelines of the sub-continent ship recycling markets. No progress has been likewise made on upgrading facilities (as Bangladeshi Recyclers have been of late) to adhere to HKC standards, something that could easily see the Pakistani market left behind in the long run.

Understandably, the political and economic chaos that continues to beset the country has taken front and center stage, leaving the market in Gadani only able to hopelessly watch on as competing neighbors continues to take in units' week after week.

Nothing meaningful.

It has certainly been some time since any meaningful sales have taken place in Gadani and with port reports and plots virtually empty, there remains capacity and demand to acquire, even though there may not be any realistic hope of fulfilling those yards (and dreams) any time soon.

A lone supply vessel did greet Gadani's anchorage this week and time will tell whether local banking and L/C processes have improved the chances of tonnage beaching in this market.

NO MARKET SALES REPORTED

TURKEY

STRAPPED!

TRY 20!

Turkey remains strapped in no-man's land, with levels nearly half of those from the Indian sub-continent, local steel plate prices that remain weak, and a Lira that is on a mission (and finally succeeded) to pass TRY 20.0, even though it ended the week at TRY 19.95 against the U.S. Dollar. We believe next week would be firm in the 20s, as the Lira has lost more than half its value in the preceding 18 months or so.

Coping by!

No change in supply, no news of local fixtures (market of private), and a country that's awaiting the result of a crucial election cycle that's managed to end in a runoff, as President Erdogan faces his challenger.

Just how much longer can Aliaga's recycling sector trudge on in this state is anyone's guess. For now, however, the market seems to be struggling on by.

NO MARKET SALES REPORTED

INTERESTING FACTS

- *Tarsiers have the biggest eyes of all mammals relative to their bodies. Each one is around the same size as its brain.*
- *The characters on a Monopoly board are called 'Jake, the Jailbird', 'Officer Mallory' and "Cavity Sam'*
- *Humboldt penguins launch their poo at nearly 8 kilometres per hour!*
- *Recycling one glass bottle, instead of manufacturing one, can generate enough electric to power a computer for 20 minutes.*
- *In Sweden, there's a hotel made entirely out of ice! It melts in the spring, so a whole new hotel has to be built every year.*
- *The Milky Way is about 100 thousand to 120 thousand light-years in diameter. (A light year is about six trillion miles!).*
- *Our galaxy is currently consuming the Canis Major Dwarf Galaxy (the closest galaxy to ours).*
- *The Milky Way has over 200 billion stars in it, even though it's one of the average sized galaxies in the Universe.*
- *There is a black hole at the center of the galaxy that is estimated to be about fourteen million miles across.*

IMPORTANT DATES

INDIA	
BANK HOLIDAYS	**BEACHING TIDES**
June 28 – June 30 – Eid Ul Azha	June 02 – June 10 June 14 – June 22

BANGLADESH	
BANK HOLIDAYS	**BEACHING TIDES**
June 28 – June 30 – Eid Ul Azha	June 04 – June 07 June 17 – June 22

IMPORTANT BANK HOLIDAYS		
CHINA	**PAKISTAN**	**TURKEY**
June 22 – June 24 – Dragon Boat Festival	June 29 – July 01 – Eid Ul Azha	June 27 – July 01 – Kurban Bayrami

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ALANG - Port Position as of May 26, 2023

No.	VESSEL NAME	LDT	TYPE	STATUS
1	Enam	6,819	Container	Arrived May 25
2	*Maritime Lira*	*11,236*	*Oil Tanker*	*Beached May 20*
3	*MSC Pilar*	*23,740*	*Container*	*Beached May 20*
4	Neru	1,885	Reefer	Arrived May 20
5	Novo 23	1,885	Fish Factory	Arrived May 25
6	Pit (Under Tow)	6,819	Jack-up	Arrived May 20
7	*Sudarshan*	*1,762*	*Supply Vessel*	*Beached May 16*
Total Tonnage		**54,147**		

CHATTOGRAM - Port Position as of May 26, 2023

No.	VESSEL NAME	LDT	TYPE	STATUS
1	*Atlantic Ray*	*2,462*	*General Cargo*	*Beached May 26*
2	*Great Wenxian*	*7,468*	*Bulk Carrier*	*Beached May 24*
3	Kai Hang 3	3,906	Container	Arrived May 23
4	Ocean Great	7,290	Bulk / Log Carrier	Arrived May 26
5	Shang Hang 68	6,719	General Cargo	Arrived May 19
6	Tubtim	702	Tanker	Arrived May 22
7	Vasi Star	7,771	Container	Arrived May 17
8	Western Endeavour	1,489	Bulk Carrier	Arrived May 18
9	Winwin	2,076	Reefer	Arrived May 24
10	Xaing Jiang 6	7,290	Bulk Carrier	Arrived May 24
Total Tonnage		**47,172**		

GADANI - Port Position as of May 26, 2023

No.	VESSEL NAME	LDT	TYPE	STATUS
1	Era	2,200	Supply Vessel	Arrived May 20
Total Tonnage		**2,200**		

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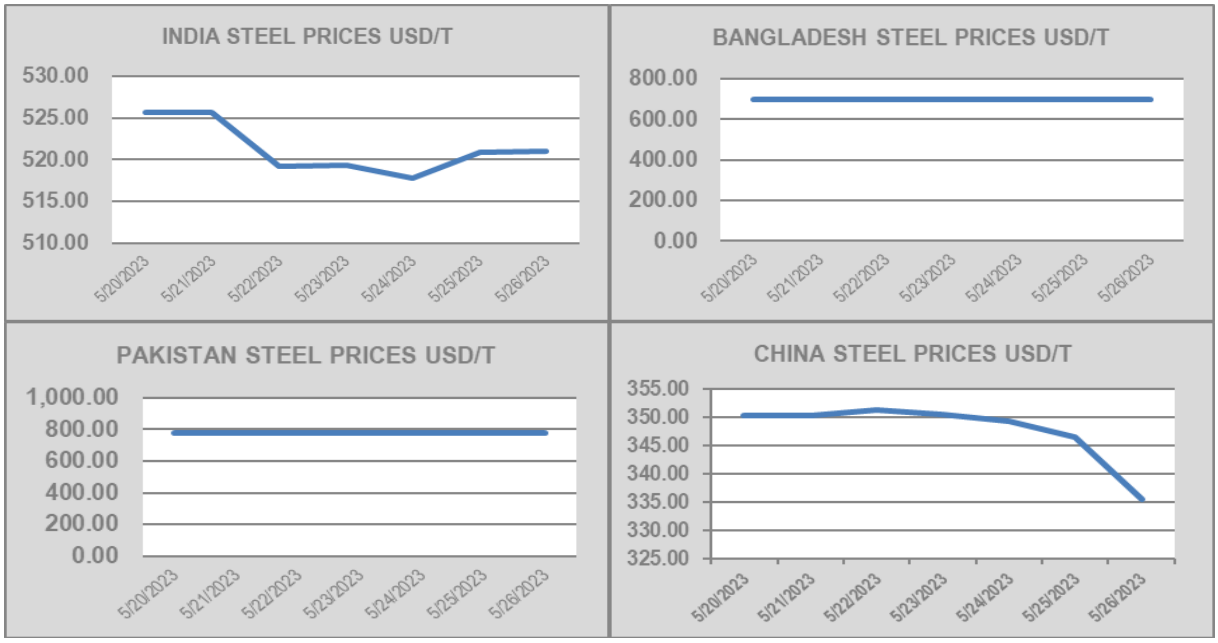
Steel Plate Prices

DATE	INDIA STEEL PRICES USD/T	INDIA STEEL PRICES	PAKISTAN STEEL PRICES USD/T	PAKISTAN STEEL PRICES	BANGLADESH STEEL PRICES USD/T	BANGLADESH STEEL PRICES	CHINA STEEL PRICES USD/T
5/20/2023	525.68	43,500.00	777.39	220,000.00	695.24	73,000.00	350.36
5/21/2023	525.68	43,500.00	777.39	220,000.00	695.24	73,000.00	350.36
5/22/2023	519.20	43,000.00	777.39	220,000.00	695.24	73,000.00	351.35
5/23/2023	519.32	43,000.00	777.39	220,000.00	695.24	73,000.00	350.51
5/24/2023	517.78	42,800.00	777.39	220,000.00	695.24	73,000.00	349.35
5/25/2023	520.91	43,100.00	777.39	220,000.00	695.24	73,000.00	346.67
5/26/2023	521.03	43,100.00	777.39	220,000.00	695.24	73,000.00	335.64



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